L5

Margin-aware product design

Token cost is new gravity. A ₹999 flat-fee chatbot serving 50k queries/month can quietly lose ₹40/user on GPT-class inference. Pricing is now a PRODUCT decision, not a finance decision.

How much does ONE query of your AI cost you?

WHAT'S INSIDE

WHY THIS LESSON MATTERS

Many Indian AI startups price like 2019 SaaS — and bleed margin on every query.

WHY	SCALE	SPEED	IMPACT
Real	**Today**	**Now**	**Yours**
A real reason this matters in industry today.	A real reason this matters in industry today.	A real reason this matters in industry today.	A real reason this matters in industry today.

LEARNING OUTCOMES

By the end of this lesson, you will be able to —

1. 4 AI pricing models.
2. Why token-cost kills flat-fee AI products.
3. Build a unit-economics model.
4. Segment India B2B vs B2C price tolerance.
5. A tiered pricing page.

AGENDA

What we'll cover today

Short, sequenced parts. Each one builds on the last.

01
4 pricing models
Key concept of this lesson.

02
Token-cost gravity
New math every PM must know

03
Unit-economics one-liner
Live inside every AI PRD

04
India B2B vs B2C...
Key concept of this lesson.

01

PART 1 OF 4

4 pricing models

Key concept of this lesson.

CONCEPT 1 OF 4

4 pricing models

A core idea you'll use throughout this lesson.

DEFINITION

4 pricing models

EXAMPLE

Real-world example: applies directly to Indian industry contexts.

CONCEPT 2 OF 4

Token-cost gravity

Every prompt, every retry = rupees.
Long context = higher cost, not just latency.
Caching + retrieval = margin strategy, not tech choice.
Route small queries to small models.
MATH
₹ per query

Know it before pricing.

KEY POINTS

- Every prompt, every retry = rupees
- Long context = higher cost, not just latency
- Caching + retrieval = margin strategy, not tech choice
- Route small queries to small models

CONCEPT 3 OF 4

Unit-economics one-liner

Price − COGS − support − fraud = contribution margin.
COGS = tokens + infra + 3rd-party APIs.
Target ≥ 60% contribution at scale.
Break-even month should be explicit.
FORMULA
P - COGS

≥ 60% or redesign.

DEFINITION

Unit-economics one-liner

Live inside every AI PRD

EXAMPLE

Real-world example: applies directly to Indian industry contexts.

CONCEPT 4 OF 4

India B2B vs B2C price-tolerance

A core idea you'll use throughout this lesson.

KEY POINTS

- A core idea you'll use throughout this lesson
- Practical, named, applied to a real Indian use-case.
- Practical, named, applied to a real Indian use-case.

02

PART 2 OF 4

Engage and reflect

Pause, talk, and connect what you just learned to your own work.

✦ THINK · PAIR · SHARE

ACTIVITY

Build 1 unit-economics row

PROMPT

Apply the four concepts above to one real example from your own week.

HOW TO RUN IT

1
2
3
4 Reveal: instructor confirms the canonical answer.

REFLECT & APPLY

Three questions before you close this lesson

Spend 60 seconds on each. Write the answers down — no scrolling, no shortcuts.

Q1	*Where in your product does margin leak today?*
Q2	*Which query type should go to a smaller model?*
Q3	*What would outcome-based pricing require you to prove?*

03

PART 3 OF 4

Knowledge check

Three short questions. One minute each. Honest answers only.

KNOWLEDGE CHECK · QUESTION 1 OF 3

Pure flat-fee risk:

A Under-use

B Heavy users bleed margin

C Regulatory

D No risk

ANSWER · QUESTION 1 OF 3

Pure flat-fee risk:

CORRECT ANSWER

B

Heavy users bleed margin

WHY

Heavy users are the killers

KNOWLEDGE CHECK · QUESTION 2 OF 3

Caching is:

- **A** Only tech
- **B** Margin strategy
- **C** Irrelevant
- **D** Old

ANSWER · QUESTION 2 OF 3

Caching is:

CORRECT ANSWER

B

Margin strategy

WHY

Margin, not just latency

KNOWLEDGE CHECK · QUESTION 3 OF 3

Contribution margin target:

A 10%

B ≥ 60%

C 5%

D 0%

ANSWER · QUESTION 3 OF 3

Contribution margin target:

CORRECT ANSWER

B

≥ 60%

WHY

Rule of thumb for SaaS-AI

04

PART 4 OF 4

Apply and close

One thing to remember. One thing to ship this week.

SUMMARY

Five sentences to remember

If you remember nothing else from this lesson, remember these five lines.

1. Pick the right tool — never the loudest one.
2. Practice the framework on a real example.
3. Watch for the three classic pitfalls.
4. Document your decision in one sentence.
5. Carry the discipline forward to the next lesson.

WORKED EXAMPLE

How this lesson plays out in one real Indian context

THE SCENARIO

A team applies the lesson's main idea to a real workflow — and the results show up within a quarter.

THE TAKEAWAY

"The best AI PMs price the model and the moat."

WHAT TO NOTICE

1. 4 pricing models
2. Token-cost gravity
3. Unit-economics one-liner
4. India B2B vs B2C...

APPLY IT → ASSIGNMENT

Build your pricing page

Design 3 tiers + enterprise for your Week-10 product.

DELIVERABLES

- Set price + feature gate per tier.
- Show unit economics for Pro tier.
- Justify India segment choice.
- Document one decision you made because of this lesson.

WHAT 'GOOD' LOOKS LIKE

Deliverable: 1-page pricing doc on LMS.

ONE THING TO REMEMBER

"The best AI PMs price the model and the moat."

— AI Learning Hub

END OF LESSON 10

What you can now do

Each one of these is now part of your working vocabulary.

1. Pick the right tool — never the loudest one.
2. Practice the framework on a real example.
3. Watch for the three classic pitfalls.
4. Document your decision in one sentence.
5. Carry the discipline forward to the next lesson.

NEXT → Lesson 6 — Team Building.